

Before the
United States Copyright Office, Library of Congress
Washington, D.C.

In the Matter of	)	
Section 1201 Study:	)	Docket No. 2015-8
Notice and Request for Public Comment	)	

Comments of Auto Care Association

Auto Care Association (“Auto Care”) is a national trade organization of 3,000 members representing more than 150,000 independent businesses that manufacture, distribute, and sell motor vehicle parts, accessories, tools, equipment, materials, and supplies, and perform vehicle service and repair. The independent aftermarket industry employs more than 4,300,000 people in the United States. Nearly \$341 billion dollars was spent on motor vehicle care in the United States in 2015, or more than 1.9 percent of the U.S. gross domestic product. Following expiration of a new car warranty, over 70 percent of car owners who patronize auto repair shops rely on independent repair shops over new car dealers. Approximately 20 percent of American consumers buy automotive parts and products to maintain, repair, and customize their own vehicles.

As explained in these Comments, original equipment manufacturers (“OEMs”) increasingly use firmware and software to control the function and operation of motor vehicle parts. These software modules also control “telematics” that restrict cars from obtaining information such as vehicle diagnostics or navigation from anyone other than OEM-authorized servicers. As the Copyright Office learned during the most recent Section 1201 triennial review, motor vehicle companies believe that copyright law generally, and especially Section 1201, grant them extraordinary control over the vehicles that consumers thought *they* owned.¹ According to these OEMs, the vehicle owner does

¹ See, e.g., Comments of John Deere in Proposed Exemption Class 21, at 5: “A vehicle owner does not acquire copyrights for software in the vehicle, and cannot properly be considered an ‘owner’ of the vehicle software”; Comments of General Motors in Proposed Exemption Class 21, at 10-12. While these comments ignore the distinction between the owner of the software and the owner of a *copy* of the software, the clear intent is to deny the applicability of the first sale doctrine and maintenance defenses to any purchaser of a motor vehicle. The press immediately understood the impact of these arguments, and took these companies to task. See “Brave New Tractor: John Deere And General Motors Pretty Sure They Own All Your Stuff,” <http://wonkette.com/583917/brave-new-tractor-john-deere-and-general-motors-pretty-sure-you-dont-own-your-stuff#fweCZLCTDyb7ICxz.99> (Apr. 27, 2015); Mike Masnick, “GM Says That While You May Own Your Car, It Owns The Software In It, Thanks To Copyright,” Techdirt

not own the copy of any software in the vehicle parts; therefore, the OEMs claim their Section 106 rights are not limited by the Section 109 first sale doctrine or Section 117 maintenance and repair exceptions. And they assert Section 1201 precludes any consumer from customizing or repairing their vehicle, or replacing broken parts, if to do so they must access embedded software locked behind a technical measure.

Can it really be, as the OEMs contend, that every local independent vehicle repair shop—and anyone who works on a friend’s car—commits copyright infringement, circumvention, and trafficking?

In truth, the OEM manufacturers have not deployed technological measures to protect copyrights, but to thwart competition—to prevent independent servicers and consumers from making repairs and routine maintenance. In some cases, the measures do not actually protect the software itself; in others, the measure deters replacement of the software rather than access to it. In all these instances, Auto Care submits that these OEMs misuse Section 1201 as did the makers of garage door openers² and printer cartridges,³ by invoking laws intended to protect copyrighted works for the purpose of locking out competition for non-copyrightable parts and services. In the words of the Sixth Circuit, the OEMs:

would have us read this statute in such a way that any time a manufacturer intentionally circumvents any technological measure and accesses a protected work it necessarily violates the statute regardless of its ‘purpose.’ Such a reading would ignore the precise language — ‘for the purpose of’ — as well as the main point of the DMCA — to prohibit the pirating of copyright-protected works such as movies, music, and computer programs. If we were to adopt [their] reading of the statute, manufacturers could potentially create monopolies for replacement parts simply by using similar, but more creative, lock-out codes. Automobile manufacturers, for example, could control the entire market of replacement parts for their vehicles by including lock-out chips. Congress did not intend to allow the DMCA to be used offensively in this manner, but rather only sought to reach those who circumvented protective measures “for the purpose” of pirating works protected by the copyright statute. Unless a plaintiff can show that a defendant circumvented protective measures for such a purpose, its claim should not be allowed to go forward.⁴

(Apr. 23, 2015), <https://www.techdirt.com/articles/20150421/23581430744/gm-says-that-while-you-may-own-your-car-it-owns-software-it-thanks-to-copyright.shtml>

² *Chamberlain Group v. Skylink Tech., Inc.*, 381 F.3d 1178 (Fed. Cir. 2004).

³ *Lexmark Int’l Inc., v. Static Control Components*, 387 F.3d 522 (6th Cir. 2004).

⁴ *Id.*, 387 F.3d at 552 (Merritt, J., concurring).

Auto Care appreciates the Librarian's grant of limited exemptions in Classes 21 and 22 in the most recent triennial review, and the Copyright Office's initiation of a Study into the application of copyright law to embedded software.⁵ But broader relief is necessary to protect consumer rights and aftermarket competition. As the Register observed in testimony last year, consumers rightfully are concerned that copyright law suddenly interferes with their reasonable and customary rights to do what they want with the products they buy.⁶

Auto Care urges the Copyright Office to clarify, for the benefit of consumers and industry, the scope and purpose of the DMCA and to help put an end to abuses that demean the utility and integrity of legitimate anticircumvention prohibitions. In summary, the Copyright Office should:

- Affirm that Section 1201 applies where, and only to the extent that, the technological measure actually protects a right of a copyright holder in a copyrighted work.
- Affirm that Section 1201 does not apply where the measure protects noncopyrightable aspects of software or markets for physical objects that the software controls.
- Make exemptions granted in a prior triennial presumptively permanent, such that the opponent has the burden to eliminate or limit the exemption.
- Determine that Section 1201 generally does not prohibit circumvention of technological measures that prevent lawful repair under patent law of products whose operation is controlled by embedded software.
- Extend exemptions to entities that perform the exempt activity on behalf of others, where the activity itself requires specialized skills or professional equipment to avoid damaging the copyrighted work or the product in which it is embedded.

⁵ See Comments of Auto Care Association, *In the Matter of Software-Enabled Consumer Products Study: Notice of Inquiry and Request for Public Comment*, Dkt. No. 2015-16 (Feb. 16, 2016), available online at <http://www.regulations.gov/#!documentDetail;D=COLC-2015-0011-0011>.

⁶ See "The Register's Perspective on Copyright Review," Statement of U.S. Register of Copyrights Maria A. Pallante before the Committee on the Judiciary, U.S. House of Representatives at 23-34 (Apr. 29, 2015), available online at <http://copyright.gov/laws/testimonies/042915-testimony-pallante.pdf>.

Background on the Repair Industry and Software Embedded in Motor Vehicles

The need to repair motor vehicles has attained greater importance over the last decade as American consumers and businesses are keeping their cars and trucks in service longer. On average, new car buyers in 2015 will keep their vehicles for 6.5 years, and used car buyers keep those cars on the road for 5.3 more years – a total of more than 11-1/2 years, and more than 4 years longer than the average in 2006.⁷ As cars advance in age, so does the need for consumers and businesses to repair and replace vehicle parts. Studies confirm that consumers prefer to obtain parts and service from independent businesses rather than dealerships—benefitting from reduced costs, greater convenience, and higher consumer satisfaction from local repair shops and neighborhood mechanics.⁸

Vehicle repair by Auto Care members also contributes to a cleaner environment. Repair and customization improves vehicle performance and efficiency, increases gas mileage and reduces energy consumption, and lowers emissions. Repair of motor vehicles using rebuilt automotive parts typically re-uses 88 percent of the raw material from the original parts, and rebuilding engines saves 50 percent of the energy required to produce a new engine.

Consumers have the right to repair their motor vehicles. Cleaning, repairing, and refurbishing parts, or replacing worn or broken parts, historically has been considered permissible repair, not infringing reconstruction, under patent law. When repairing motor vehicles, a servicer may replace a broken part, or repair or rebuild the consumer's existing part. Where replacement parts are needed, the servicer (and consumer) often may have a choice of new OEM parts, new parts from an independent producer, or rebuilt parts from either the OEM or an independent. In many cases, a used part removed from a vehicle may be refurbished or rebuilt and used to repair other vehicles. For example, replacing one vehicle's engine or transmission with parts taken from other vehicles has always been accepted as lawful as well as economically and ecologically beneficial.

Typically, parts and services from independent manufacturers and repair shops cost less than OEM parts and service, and competition from these independents constrains supracompetitive pricing by OEMs. Independent repair businesses have the equipment,

⁷ News Release, IHS, "Average Age of Light Vehicles in the U.S. Rises Slightly in 2015 to 11.5 years," July 29, 2015, <http://press.ihs.com/press-release/automotive/average-age-light-vehicles-us-rises-slightly-2015-115-years-ihs-reports>; Phil LeBeau, "Americans holding onto their cars longer than ever," CNBC (July 29, 2015) <http://www.cnbc.com/2015/07/28/americans-holding-onto-their-cars-longer-than-ever.html>

⁸ "Independent vs. dealer shops for car repair," Consumer Reports, Jan. 22, 2015, <http://www.consumerreports.org/cro/magazine/2015/03/best-places-to-get-your-car-repaired/index.htm>

knowledge, and experience necessary to address the consumer’s problem accurately and in compliance with laws and regulations pertinent to motor vehicles.⁹ It generally is infeasible for the ordinary consumer to repair software-enabled parts. OEMs intentionally design vehicles to deter access to software except through the use of specialized and costly tools. Those making repairs also need to understand how software for a specific part may interact with other software-controlled vehicle systems. Thus, the aftermarket repair and customization industry provides much-needed and cost-effective services that consumers often cannot do for themselves.

Responses to Copyright Office Questions

General

1. *Please provide any insights or observations regarding the role and effectiveness of the prohibition on circumvention of technological measures in section 1201(a).*

Response: Virtually since its enactment, Section 1201(a) has been exploited and misused by businesses intent on constraining lawful market competition for non-copyrightable products. Technological measures have been applied in a number of contexts where no copyrighted work is being accessed or protected. And businesses in various industries, including the motor vehicle industry, have inserted software routines into products with the specific purpose to wield Section 1201(a) against their competitors. Given the ubiquity of embedded control software in products and equipment, the Copyright Office should provide clear guidance in this Study and in future exemptions, so as to stave off litigation and liability for competitors engaged in otherwise lawful maintenance, customization, and repair.

As vehicle parts increasingly incorporate computer software, functions that used to be performed by hardware components now are controlled by software embedded in those parts or centralized in an electronic control unit (“ECU”). Today’s engines, transmissions, oxygen sensors, ignitions, brakes, emissions systems, electric windows, air blowers, air bags, and even windshield wipers are just a few of the systems in which manufacturers have replaced purely electro-mechanical parts with microprocessors and software controls. The function of these parts is the same regardless of whether implemented in hardware or software. Logically, the law applicable to software-controlled parts should be the same as for hardware—repairing, refurbishing, modifying, adjusting, or replacing software that functions as a part in a motor vehicle should be treated no differently than a brake caliper or a universal joint.

⁹ In that regard, it is particularly unfortunate that the triennial ruling denied the exemption to businesses, acting “on behalf of” their customers, that have the experience and wherewithal to both circumvent the technological protection measure and effect repairs compliant with environmental and other regulations. See Response to Questions 6-7, *infra* at 9-10. Notwithstanding, as noted *infra* at 7, Auto Care believes Section 1201 grants no authority to limit exemptions based on considerations other than the protection of copyrighted works.

Our members report that new software-based schemes are being deployed by original equipment manufacturers, in a cat and mouse game intended to lock-out competition for aftermarket repair and customization services:

- Some manufacturers tie the copy of the software installed in a car's parts to that car's unique Vehicle Identification Number (VIN). As a result, the technological measure prevents a used or refurbished part from one vehicle from working in another car of the same model.
- Similarly, some car manufacturers design embedded software for car parts with primary or sole purpose to authenticate with the car's ECU module so as to "verify" that only replacement parts made by the OEM are able to be installed by an "authorized" servicer.¹⁰
- One OEM has contended that Section 1201(a) prevents aftermarket businesses from circumventing a technological measure in order to *replace* the software rather than to access it.
- Another OEM asserted in a complaint that Section 1201(a) prohibited an aftermarket vendor from circumventing technological measures solely for the purpose of accessing non-copyrightable data and operating parameters embodied in the embedded software.¹¹

Such technological measures on their face protect business models, not Section 106 rights. OEMs deploy these tactics in an attempt to leverage Section 1201 to stifle lawful competition, not for any purpose protectable by copyright. Potentially draconian liability—statutory damages of \$2500 per circumvention, injunctive relief, impoundment and destruction under Section 1203, and even the most remote hint of a threat of criminal liability for commercial activity under Section 1204—hands OEMs a powerful weapon against otherwise lawful competition from independent parts manufacturers, servicers, and software developers. The ensuing legal risk, and particularly uncertainty over the law, chills investment by our companies in innovative technologies and services that cost consumers less.

Auto Care therefore urges the Copyright Office through this Study to provide unambiguous guidance that Section 1201(a) does not prohibit circumvention of technological measures primarily designed to protect markets rather than works, and to protect non-copyrightable elements of embedded software. Manufacturers, services, and consumers will

¹⁰ See *Lexmark v. Static Control*, 387 F.3d at 530 (technological protection measure on printer cartridge chip prevented use of "unauthorized" toner cartridges).

¹¹ The court properly dismissed the OEM's claim under Section 1201(a). *Ford Motor Company v. AUTEL US Inc.*, No. 14-13760, Opinion and Order, (E.D. Mich. Sept. 30, 2015).

benefit from better demarcation of the limits of Section 1201, and from exemptions that facilitate noninfringing repair and customization of products with embedded software functions.

2. *How should section 1201 accommodate interests that are outside of core copyright concerns, for example, in cases where circumvention of access controls protecting computer programs implicates issues of product interoperability or public safety?*

Response: Section 1201 and the triennial review process under Section 1201(a) should *not* accommodate interests other than those directly within the province of core copyright concerns. Auto Care respectfully submits that the Librarian of Congress and the Copyright Office, by delaying implementation of the Class 21 and 22 exemptions, exceeded their authority and committed clear error.

First, the text of Section 1201 commands that any inquiry and action be limited to the framework of copyright. Congress codified Section 1201 as part of the Copyright Act, to address the impact of new digital technology, and particularly digital network communications, on the rights of copyright owners under Section 106 and the public interests that copyright implicates. Section 1201(a)(1)(B) stands as a safeguard against potential adverse effects of access controls and anticircumvention restrictions on the ability of “users of a copyrighted work” to make “*noninfringing uses under this title... .*” This clearly implies that the text of Title 17 cabins the inquiry, and evinces Congress’ judgment that the implications of noninfringing uses under *other titles* of the U.S. Code lie beyond Section 1201’s ambit.

Second, the duties of the Librarian under 2 U.S.C. § 131 *et seq.*, and the Copyright Office under 17 U.S.C. § 701, include no general legal authority to engage in rulemaking under laws outside of Title 17 or policies not affected by copyright. To the extent that Congress required input concerning the non-copyright effects of access controls on noninfringing uses, it required the Register to seek those views from the Assistant Secretary for Communications and Information of the Department of Commerce.¹²

Third, as further evidence, Section 1201(a)(1)(C) repeats the same text from (B) limiting the inquiry to noninfringing uses under Title 17, and defines factors relevant to copyright to be examined by the Register and the Librarian in conducting the rulemaking. Clauses (i)-(iv) each are tethered to the purposes of the Copyright Act—the availability and use of works, the impact on socially beneficial uses of copyrighted works, and any effect of circumvention upon the economic incentives for creation of copyrighted works. Even the more general factor in clause (v), under the principle of *ejusdem generis*, must be understood within the scope of copyright interests reflected in the body of subparagraph (C) and clauses (i)-(iv).¹³ Thus, Section

¹² 17 U.S.C. § 1201(a)(1)(C).

¹³ See, e.g., Antonin Scalia and Bryan A. Garner, *Reading Law: The Interpretation of Legal Texts*, § 32 at 199-213(2012),

1201(a)(1)(C) (i)-(v) should not be properly interpreted as a broad license to consider other areas of the law. To the contrary, these five factors must be understood and applied within the scope of the powers of the Copyright Office and Librarian under the copyright laws.

Finally, there is no need for the Librarian to consider the effect of other laws on any proposed exemption. The right to circumvent and to make noninfringing uses under title 17 does not constitute free license under any other provision of the laws. Those laws apply regardless of the Librarian determination and without any delay or grace period under an exemption.

Thus, we respectfully submit that the Librarian acted beyond his authority by delaying the exemptions, prolonging for an additional year the harm to the public from Section 1201(a), under Classes 21 and 22, where the Librarian determined that an exemption was warranted.

Rulemaking Process

3. *Should section 1201 be adjusted to provide for presumptive renewal of previously granted exemptions—for example, when there is no meaningful opposition to renewal—or otherwise be modified to streamline the process of continuing an existing exemption? If so, how?*
4. *Please assess the current legal requirements that proponents of an exemption must satisfy to demonstrate entitlement to an exemption. Should they be altered? If so, how? In responding, please comment on the relationship to traditional principles of administrative law.*
5. *Please provide additional suggestions to improve the rulemaking process.*

Response to Questions 3-5: The Librarian should grant presumptive exempt status to classes previously granted an exemption in a prior triennial review. Once the burden of proof has been met by a petitioner in an earlier proceeding, the burden should shift to those who oppose the exemption to demonstrate changed circumstances meriting a full re-evaluation of the exemption. That burden of proof should be at least as stringent as the burden carried by entities that sought and obtained the exemption in the first instance. Evidence and argument that merely recapitulates points made in opposition to a previously-approved exemption should be deemed insufficient to overcome the presumption.

The Librarian therefore should identify in the notice issued for each forthcoming triennial that all past exemptions presumptively will be carried forward. Should an opposition be received, then those who support the exemption may come forward with a rebuttal to be considered by the Librarian. The Librarian should examine both the evidence and arguments of the opposition and the rebuttal, if any, of the exemption proponents, to determine whether the opponents have met their burden to demonstrate changed circumstances to amend or remove the exemption. However, rebuttal comments should not be required. Exemptions create rights for all members of

the public, not just those who filed the petition. Accordingly, regardless of whether a rebuttal is filed, and in the exercise of its obligations to ensure that exemptions protect public as well as private interests, the Librarian should determine whether the opposition has carried its burden—much in the same way she would determine whether an unopposed exemption met its burden under Section 1201(a)(1)(B).

Anti-Trafficking Prohibitions

6. *Please assess the role of the antitrafficking provisions of sections 1201(a)(2) and 1201(b) in deterring copyright infringement, and address whether any amendments may be advisable.*
7. *Should section 1201 be amended to allow the adoption of exemptions to the prohibition on circumvention that can extend to exemptions to the antitrafficking prohibitions, and if so, in what way? For example, should the Register be able to recommend, and the Librarian able to adopt, exemptions that permit third-party assistance when justified by the record?*

Response to Questions 6 and 7: Auto Care members’ experience shows that, in the case of embedded software, both the act of circumvention and the ability to make effective noninfringing uses can be technologically beyond the reach of the ordinary consumer. In such circumstances, the purpose of the Section 1201(a) exemptions and, more generally, copyright policy would be frustrated by limiting the exemption to only those individuals possessed with extraordinary knowledge and tools, and would be advanced by permitting third party assistance.

Embedded software that controls motor vehicle parts is often complex, and interacts with other software embedded throughout the motor vehicle system. The ability to diagnose the problem in the first instance, then to circumvent and access the software, create a solution, and implement it compatibly within the vehicle systems as a whole, cannot reasonably be accomplished on a one-off basis by an individual consumer. Diagnosis, circumvention, analysis, and repair require expensive equipment that ordinary consumers cannot afford (assuming they can obtain it at all).¹⁴ Moreover, consumers generally lack sufficient training and expertise to use the equipment, or to make adjustments that will maintain optimal performance in operation and in interoperation with the rest of the vehicle software and systems. Where the cost of circumvention, and risk of damaging the product, exceeds the value of the noninfringing use, that

¹⁴ As one example, OEMs create proprietary physical and electrical interfaces for key software-controlled parts. Consumers cannot simply plug into these systems, like a USB cable into a laptop interface port. And OEMs limit the ability to acquire compatible diagnostic and maintenance equipment by controlling sales to “authorized” purchasers and/or setting exorbitant prices for what may otherwise be simple parts. In many cases, OEMs could have adopted common user interfaces, but elected instead to use a proprietary port or protocol—and made that choice primarily, if not exclusively, to deter competition from aftermarket companies.

exemption may be granted at law but will be denied in practice. Exempting third parties who enable circumvention for noninfringing purposes makes those noninfringing uses possible and affordable, and makes the uses themselves effective, reliable, and safe.

In the case of many motor vehicle software systems, the Class 21 and 22 exemptions are but empty promises. Without means for the individual to circumvent or to effectuate modifications and repairs, the consumer benefits derived from the exemption could be severely limited, and the purposes of Section 1201(a) will have been defeated. This loss is particularly egregious for these specific exemption classes. The embedded software performs functions that could have been performed by physical parts and that, in recent past, could have been repaired by independent facilities or consumers themselves without any threat of copyright liability or need for an exemption. And, denying third parties the ability to facilitate the exempt repairs contributes to Section 1201(a) abuse, by granting exclusive rights to high-margin repair and maintenance services rather than protecting a copyrighted work or a Section 106 right.

Therefore, the Librarian should extend the Section 1201(a) exemption in Classes 21 and 22 to persons acting “on behalf of” consumers, where the circumvention facilitates and enables maintenance, modification, or repair of the part or machine in which the software is embedded.

Auto Care thanks the Copyright Office for conducting this Study. We look forward to continuing our participation in this proceeding. Should the Office have any questions, please feel free to contact us at your convenience.

Respectfully submitted,

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